Vistra Corp (VST)

The Merchant Derivative Discount Creates an Asymmetric Entry into AI Baseload Power

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Market apprehension over non-cash unrealized hedge volatility and headline top-line misses has obscured the step-change in underlying cash generation across Vistra Corp's integrated power platform. As merchant wholesale markets tighten across PJM and ERCOT, Vistra is demonstrating immense cash conversion through higher realized energy and capacity prices while securing decades of premium baseload demand via landmark enterprise partnerships. The closing of the Lotus acquisition, the formation of the Helix Digital Infrastructure venture with NVIDIA, KKR, and the Kuwait Investment Authority, and long-term 20-year Meta agreements illustrate a capital allocation flywheel that is systematically decoupling forward profitability from commoditized power cycles. We reiterate our Buy rating with a probability-weighted blended price target of $172.84, representing +15.2% upside from the reference spot price of $149.97.

BUY	$172.84	+15.2%	$149.97
INVESTMENT RATING	BLENDED TARGET	BLENDED UPSIDE	REFERENCE PRICE

While consensus remains distracted by quarterly derivative accounting swings and top-line variances against unhedged street models, Vistra is locking in historic multi-year capacity pricing and structured artificial intelligence data center power agreements that structurally reset baseline cash flows. The resulting divergence between backward-looking GAAP mark-to-market noise and forward ongoing EBITDA realization provides an exceptionally favorable entry point for long-term institutional capital.

EXECUTIVE SUMMARY

Vistra Corp operates as an integrated power producer combining zero-carbon nuclear and natural gas generation under its Luminant operations with retail electricity supply through TXU Energy and Ambit. This structural pairing of wholesale generation capacity and direct retail delivery provides a resilient commercial architecture capable of capturing elevated merchant power pricing while maintaining downside margin insulation. The company is actively executing a strategic transformation into a premier AI data center power supplier, leveraging 20-year Meta power purchase agreements, Department of Energy-backed nuclear uprates, and the newly unveiled Helix Digital Infrastructure venture formed alongside KKR, the Kuwait Investment Authority, and NVIDIA to construct and power high-density computational environments.

The company's recent operational performance provides definitive evidence that this merchant leverage model is operating at peak effectiveness. In Q2 FY2026, Ongoing Operations Adjusted EBITDA climbed 31% year over year to $1.767 billion compared to $1.349 billion in the prior-year period, driven by surging realized energy and capacity settlement prices. This followed a record Q1 FY2026, during which operating revenue surged 43.4% year over year to $5.64 billion, GAAP net income reached $1.029 billion, and diluted EPS came in at $2.87, outperforming the $2.21 consensus estimate by nearly 30%. Although headline revenues have exhibited quarterly variability due to derivative settlements, such as the Q2 FY2026 top line of $4.02 billion that included a $472 million unrealized hedge loss, net income for the first half of FY2026 expanded to $1.334 billion compared to just $59 million in the first half of FY2025.

Management has consistently fortified the commercial perimeter by locking in forward curves, achieving a 98% hedged position for FY2026 generation as of May 1, 2026. Forward operational milestones have been reaffirmed, with full-year FY2026 guidance holding at $6.8-7.6 billion in Adjusted EBITDA and an initial FY2027 EBITDA midpoint opportunity flagged at $7.4-7.8 billion. This trajectory represents an immense expansion from FY2025 Adjusted EBITDA of $5.05 billion and operating income of $2.13 billion, reflecting the operational integration of the acquired 2,600 MW Lotus gas fleet and surging PJM capacity market clearings.

From a balance sheet and capital deployment standpoint, Vistra has successfully achieved an investment-grade credit profile, securing upgrades from both Fitch and S&P. Management has actively optimized its debt maturities, executing $2.25 billion in secured notes in January followed by $4.0 billion in unsecured notes in April. With cash reserves of $785.0 million against total debt of $20.1 billion and net debt of $19.3 billion at the end of FY2025, the business generates robust discretionary cash flow, underpinned by an authorized $1 billion share repurchase program and an outlook delivering up to $4.725 billion in adjusted free cash flow before growth.

OPERATIONAL SNAPSHOT

$149.97	$17.7B	$1.32B	7.4%	1.39	$149.97
REF. PRICE	FY2025 REVENUE	FY2025 FREE CASH FLOW	FCF MARGIN	EQUITY BETA	REF. CLOSE

Fiscal-year figures as reported in company filings and collected by Cascadia Analytics; ref. price as of 2026-10-20.

THE MOAT IS INTEGRATED AND CONTRACTED

Vistra's competitive moat is anchored in the structural synergy between Luminant's low-marginal-cost generation fleet and the captive retail demand managed through TXU Energy and Ambit. In competitive merchant territories, standalone retail providers face severe margin compression during extreme pricing spikes, while standalone merchant generators endure cash flow volatility when wholesale clearing prices collapse. Vistra's integrated model neutralizes this dynamic by providing an internal physical hedge. Generation assets supply the retail book at cost-plus certainty, while surplus power is dispatched into wholesale markets during high-value peak demand periods. This structural balance insulates corporate cash generation against the commodity cycle to an extent unmatched by pure-play merchant peers.

The merchant fleet's strategic location creates an insurmountable physical barrier to entry. Siting, permitting, and grid-interconnection queues for utility-scale baseload generation have expanded across both ERCOT and PJM, turning existing dispatchable generation into scarce, irreplaceable infrastructure. By closing the $1.231 billion acquisition of Lotus, Vistra added seven natural gas plants totaling 2,600 MW of dispatchable capacity directly into high-clearing competitive wholesale power markets. This transaction directly catalyzed the East segment's performance in Q1 FY2026, where Adjusted EBITDA surged 56% year over year to $801 million. These physical assets cannot be replicated by prospective competitors within standard commercial time horizons.

The company's pivot toward high-performance computing power supply establishes long-term customer switching costs and revenue visibility that closely resemble regulated utility concessions. High-density artificial intelligence data centers demand non-intermittent, round-the-clock power that intermittent renewable resources cannot independently deliver. Vistra has capitalized on this structural deficit by executing 20-year power purchase agreements with Meta across 2.6 GW of nuclear generation, including 1,200 MW tied directly to Comanche Peak. When combined with Department of Energy-backed nuclear uprates and the Helix Digital Infrastructure venture alongside NVIDIA, KKR, and the Kuwait Investment Authority, Vistra transforms wholesale merchant capacity into highly contracted, investment-grade infrastructure assets.

Furthermore, nuclear production tax credits provide a federally legislated gross margin floor for the zero-carbon fleet, shielding nuclear generation against unremunerative power environments while preserving full upward participation in peak power pricing. This fiscal support mechanism, paired with direct retail pricing power across TXU Energy and Ambit, establishes an enduring economic architecture that systematically captures structural power demand tailwinds.

VALUATION

Three scenarios make the valuation range explicit

Our valuation architecture evaluates Vistra through an institutional discounted cash flow model calibrated over a discrete forecast window from FY2026 through FY2030, anchored by an 8.73% weighted average cost of capital and 339.2 million diluted shares. The market capitalization of $50.9 billion at the reference spot price of $149.97 implies a trailing price to earnings multiple of 67.4x relative to FY2025 diluted EPS of $2.22, enterprise value to latest fiscal year revenue of 4.0x, and enterprise value to EBITDA of 13.9x. Cash generation expands significantly across our forecast as forward hedge realizations align with current wholesale pricing environments.

Our Base case scenario models revenue compounding at an 8.0% CAGR through FY2030, resulting in an expansion of target free cash flow margin to 16.5% in the terminal forecast period, compared to the reported 7.4% FCF margin in FY2025. Applying a 2.5% terminal growth rate reflects the permanent value enhancement derived from contracted enterprise PPAs and structural capacity pricing elevation across PJM. This yields an intrinsic base equity value of $170.68 per share. Across our three explicit scenarios, cash flow conversion accelerates as capital expenditure normalizes following recent fleet expansion and the integration of the Lotus acquisition.

SCENARIO	WEIGHT	REVENUE CAGR	TARGET FCF MARGIN	TARGET	UPSIDE

Bear	25%	3.0%	13.6%	$103.79	-30.8%
Base	50%	8.0%	16.5%	$170.68	+13.8%
Bull	25%	12.0%	19.4%	$246.21	+64.2%

Bear $103.79

A prolonged downturn in wholesale capacity clearing prices alongside generation outages across aging coal units such as Martin Lake suppresses revenue growth to a 3.0% CAGR through FY2030. Margin expansion is constrained by fuel and purchased power cost inflation, yielding a terminal free cash flow margin of 13.6% and an equity target of $103.79 per share.

Base $170.68

Execution of guided FY2026 Adjusted EBITDA of $6.8-7.6 billion and conversion of the FY2027 EBITDA opportunity of $7.4-7.8 billion drive revenue at an 8.0% CAGR through FY2030. Sustained PJM capacity revenue and contribution from the 2,600 MW Lotus fleet normalize target free cash flow margins to 16.5%, supporting an intrinsic value of $170.68 per share.

Bull $246.21

Accelerated hyperscale co-location contracts through Helix Digital Infrastructure with NVIDIA, KKR, and KIA alongside DOE-backed nuclear uprates lift top-line growth to a 12.0% CAGR through FY2030. Unlevered free cash flow margin expands to 19.4% as high-margin 20-year Meta PPAs take effect, driving equity value to $246.21 per share.

VALUATION FRAMEWORK

A live discount rate, not a static hurdle

Our quantitative framework establishes a weighted average cost of capital of 8.73%, reflecting an equity beta of 1.39 that captures the operating leverage inherent in merchant wholesale generation, balanced by Vistra's newly achieved investment-grade credit profile. Upgrades from both Fitch and S&P have structurally lowered marginal debt capital costs, as evidenced by the successful completion of $2.25 billion in secured debt notes in January and $4.0 billion in unsecured notes in April. This investment-grade status provides broad institutional debt liquidity that enhances financial flexibility while funding fleet additions.

The 8.73% discount rate accurately prices the equity risk premium required by institutional investors navigating merchant power volatility, derivative mark-to-market variations, and substantial balance sheet obligations comprising $20.1 billion in total debt and $19.3 billion in net debt. As contracted commercial agreements, including 20-year Meta PPAs across 2.6 GW, scale in proportion to overall corporate EBITDA, Vistra's asset risk profile will experience beta

KEY VALUATION PARAMETERS

Forecast window	**FY2026 to FY2030**
Live WACC	**8.73% (2026-10-20)**
Terminal growth	**2.5%**
Equity beta	**1.39**
Diluted shares	**339.2 million**

BUY

over $172.84 blended target

compression toward regulated utility benchmarks, unlocking incremental multiple expansion over the forecast horizon.

FCF margin normalization is the engine

In FY2025, Vistra reported free cash flow of $1.32 billion on revenue of $17.7 billion, representing a free cash flow margin of 7.4%, which was constrained by elevated fuel and purchased power costs that climbed 25% year over year and narrowed net margins to 4.2%. Operating income stood at $2.13 billion against gross profit of $5.83B, while EBITDA reached $5.05 billion. This trailing cash conversion baseline represents a cyclical trough that masks the step-change signaled in forward operational guidance.

Management's outlook projecting up to $4.725 billion in adjusted free cash flow before growth alongside FY2026 Adjusted EBITDA guidance of $6.8-7.6 billion demonstrates the operating leverage within the business. As the 2,600 MW Lotus gas fleet contributes over full fiscal years, nuclear production tax credits provide cash flow floors, and high-clearing PJM capacity revenues materialize, target free cash flow margins naturally expand to 13.6% in the Bear case, 16.5% in the Base case, and 19.4% in the Bull case by FY2030. This structural margin normalization serves as the primary quantitative engine supporting our valuation targets.

Mechanics are explicit

Revenue becomes EBIT, cash taxes come out, then we add back D&A, subtract CapEx and the change in net working capital to reach unlevered free cash flow, which we discount and divide by diluted shares.

Methodology. Detailed EBIT-bridge DCF on three scenarios, probability-weighted 25/50/25. Beta decays toward a mature peer over the forecast. Terminal value via Gordon growth. Targets are model-computed, not estimated.

BUSINESS & SEGMENT DRIVERS

Revenue prospects anchor on Dispatchable Merchant Capacity and AI Infrastructure Long-Term PPAs BUY

Vistra's operational trajectory is governed by two complementary growth engines: merchant wholesale fleet dispatch optimization across PJM and ERCOT via Luminant, and contracted long-term off-take agreements dedicated to high-density computational infrastructure. The integration of 2,600 MW of dispatchable capacity across seven natural gas generation facilities acquired through the $1.231 billion Lotus transaction has expanded market capture in the East

segment. In Q1 FY2026, the East segment generated Adjusted EBITDA of $801 million, a 56% year-over-year increase that directly proved the earnings power of dispatchable generation in capacity-constrained grids.

Simultaneously, Vistra's Texas retail and generation footprint demonstrated notable operational resilience. During the second-warmest ERCOT Q1 since 1950, retail operations through TXU Energy and Ambit maintained volume stability and customer margins, highlighting the counter-cyclical protections offered by integrated retail integration. While wholesale power markets present periodic weather and volume variances, the underlying power supply and retail demand balance preserved profitability across ongoing operations.

The company's commercial transformation into an artificial intelligence infrastructure supplier represents a permanent expansion of its addressable market. The launch of Helix Digital Infrastructure in collaboration with KKR, the Kuwait Investment Authority, and NVIDIA provides a specialized platform to develop and finance large-scale AI computational facilities adjacent to dedicated power resources. Coupled with 20-year Meta power purchase agreements covering 2.6 GW of nuclear capacity, including the 20-year 1,200 MW commitment at Comanche Peak and Department of Energy-backed nuclear uprates, Vistra is structurally converting commodity generation volumes into highly predictable, premium-priced commercial cash flow streams.

Although merchant volatility occasionally creates headline accounting noise, such as the $472 million unrealized hedge loss in Q2 FY2026 or the $723 million unrealized hedge gain in Q1 FY2026, Vistra's underlying cash delivery continues to compound. With 98% of FY2026 generation fully hedged as of May 1, 2026, cash generation volatility is substantially eliminated for the near term, allowing management to advance its $1 billion share repurchase authorization and meet ongoing capital commitments.

What to monitor

- **Realized capacity clearing auction prices** across PJM and ERCOT markets will dictate wholesale merchant gross margin realization and determine baseline returns for the integrated Lotus natural gas generation fleet.
- **Commercial deployment velocity of the Helix Digital Infrastructure venture** alongside partners KKR, KIA, and NVIDIA, tracking construction milestones and capital deployment pacing for computational power infrastructure.
- **Contractual execution on the 20-year Meta nuclear power purchase agreements** and DOE-backed uprates across the Comanche Peak nuclear site to verify project timelines and premium pricing realization.
- **Operating fleet availability and maintenance execution** across critical baseload coal and natural gas assets, mitigating the risk of unplanned generation outages such as the historical Martin Lake Unit 1 event.

+3.0%	32.9%	12.0%	7.4%	$19.3B	18.5%
FY2025 REVENUE GROWTH	GROSS MARGIN	OPERATING MARGIN	FCF MARGIN	NET DEBT	RETURN ON EQUITY

METRIC	FY2025 (AS REPORTED)
Revenue	$17.7B
Gross Profit	$5.83B

EBIT	$2.13B
Net Income	$944.0M
EBITDA	$5.05B
Free Cash Flow	$1.32B
Diluted EPS	$2.22
ROE	18.5%

RISK & MOAT MATRIX

The bear case

SHARE EROSION

Heightened merchant competition and aggressive retail electricity marketing across Texas could pressure retail market share across TXU Energy and Ambit. A sustained compression in customer account retention would lower the structural internal hedge benefit that supports corporate

M&A DIGESTION

Integrating seven newly acquired natural gas facilities totaling 2,600 MW from the $1.231 billion Lotus transaction carries operational execution hurdles. Suboptimal dispatch coordination across these assets could restrict anticipated EBITDA synergy realization across the East segment.

REGULATORY AND PRICING SCRUTINY

Wholesale market pricing mechanisms and nuclear production tax credit guidelines remain subject to federal and state administrative oversight. Any regulatory reforms altering ERCOT reserve structures or PJM capacity market settlement mechanics could diminish realized merchant margins.

TECHNOLOGY DISRUPTION

Rapid technological advances in grid-scale energy storage or alternative zero-carbon baseload solutions could challenge the commercial longevity of conventional gas fleets. Unanticipated technical constraints in executing nuclear uprates could also delay contracted megawatt delivery to corporate off-takers.

REINVESTMENT TREADMILL

Maintaining older baseload generation infrastructure demands substantial capital expenditure to prevent unplanned operational outages like Martin Lake Unit 1. Elevated reinvestment requirements for thermal assets could divert discretionary cash flow away from share repurchase authorizations.

WACC AND DURATION SENSITIVITY

With $20.1 billion in total debt and an equity beta of 1.39, corporate valuation remains sensitive to shifts in benchmark interest rates. Higher refinancing yields on upcoming debt tranches would increase annual interest burdens and constrain levered free cash flow expansion.

gross margins.

The strengths

OLIGOPOLY POSITION

Extensive generation assets across Luminant paired with substantial retail market presence establish an unmatched integrated competitive footprint across PJM and ERCOT. Massive regulatory hurdles and grid interconnection bottlenecks prevent prospective competitors from constructing rival baseload generation capacity.

FCF COMPOUNDING

The business model supports substantial cash flow conversion, highlighted by management guidance delivering up to $4.725 billion in adjusted free cash flow before growth. This cash profile supports balance sheet flexibility while underwriting systematic share repurchases under the $1 billion authorization.

GEOGRAPHIC DURABILITY

Operating across diversified power regions enables Vistra to capture peak pricing dynamics across the East while insulating performance against localized weather anomalies. This geographic spread proved its value as the East segment surged 56% during ERCOT's second-warmest Q1 on record.

PIPELINE OPTIONALITY

Long-term 20-year Meta power purchase agreements across 2.6 GW of nuclear capacity alongside the Helix Digital Infrastructure joint venture with NVIDIA, KKR, and KIA position Vistra as the preferred power supplier for global hyperscale computational infrastructure.

The bottom line on risk and reward

Vistra's operating performance across FY2026 establishes that the transition from a pure commodity merchant generator into an infrastructure-backed power supplier is fully underway. While trailing metrics reflect the accounting effects of non-cash derivative fluctuations, underlying Ongoing Operations Adjusted EBITDA of $1.767 billion in Q2 FY2026 and $1.494 billion in Q1 FY2026 demonstrate the powerful earnings capacity of the physical generation fleet. With full-year FY2026 guidance reaffirmed at $6.8-7.6 billion and an initial FY2027 EBITDA opportunity midpoint of $7.4-7.8 billion, corporate cash flow is set to expand rapidly.

The market's tendency to penalize temporary revenue deviations, such as the post-print sell-offs following Q2 FY2026 and Q4 FY2025, presents a distinct mispricing opportunity. Investors who look past short-term hedge mark-to-market variances gain access to a premier dispatchable energy asset base anchored by nuclear PTC cash flow floors, strategic gas generation via the Lotus acquisition, and long-term contracted demand from hyperscalers including Meta and NVIDIA. With investment-grade balance sheet ratings secured from both Fitch and S&P, financing costs are stabilized, leaving discretionary capital available for accretive shareholder returns.

We synthesize these fundamental drivers through our probability-weighted valuation framework, assigning a 25% weighting to our Bear target of $103.79, 50% to our Base target of $170.68, and 25% to our Bull target of $246.21. This yields a blended price target of $172.84 per share, offering a compelling +15.2% upside relative to the reference spot price of $149.97. We reiterate our high-conviction Buy recommendation on VST shares.

Justin Wen, Senior Equity Research Analyst, Cascadia Analytics

FRANCHISE DEEP DIVE

Luminant Generation Fleet: Dispatchable Baseload Power for the Enterprise Era

Luminant constitutes the foundational generation backbone of Vistra Corp, operating a highly diversified portfolio of zero-carbon nuclear and natural gas assets designed to deliver baseload and dispatchable peaking capacity into the country's most competitive wholesale power markets. In an energy landscape characterized by accelerating electrification and structural power deficits driven by AI computation, Luminant's dispatchable generation represents an essential operational asset. Rather than competing solely on wholesale spot markets, Luminant utilizes physical integration with TXU Energy and Ambit to guarantee internal retail supply while selling uncommitted volume into peak regional power pricing spikes.

The strategic value of this fleet expanded significantly following the closing of the $1.231 billion Lotus transaction, which added seven natural gas generating stations totaling 2,600 MW of dispatchable capacity. This addition provided critical generation scale across PJM, directly capitalizing on elevated capacity auction pricing and driving Adjusted EBITDA in the East segment to $801 million in Q1 FY2026, an increase of 56% year over year. The integration of these natural gas assets complements Luminant's zero-carbon nuclear generation at Comanche Peak, which benefits from federal nuclear production tax credits that establish a resilient gross margin baseline regardless of localized wholesale power price fluctuations.

Furthermore, Luminant serves as the foundational physical platform for Vistra's long-term artificial intelligence growth strategy. Through landmark 20-year power purchase agreements with Meta across 2.6 GW of nuclear capacity, including 1,200 MW contracted directly at Comanche Peak, Luminant is converting traditional merchant exposure into long-term contracted infrastructure cash flows. This platform is further expanded by Department of Energy-backed nuclear uprates and the Helix Digital Infrastructure venture formed alongside KKR, the Kuwait Investment Authority, and NVIDIA to construct and power high-density computational environments. By securing multi-decade power commitments with investment-grade technology enterprises, Luminant is structurally re-rating the company's long-term cash flow multiple.

What the recent record shows

- Ongoing Operations Adjusted EBITDA climbed 31% year over year to $1.767 billion in Q2 FY2026, driven by higher realized wholesale energy and capacity settlement prices across the merchant generation fleet.
- The East segment expanded Adjusted EBITDA by 56% year over year to $801 million in Q1 FY2026, reflecting the operational integration of the 2,600 MW Lotus gas fleet and elevated PJM capacity market clearings.
- Commercial off-take momentum accelerated through long-term 20-year Meta power purchase agreements covering 2.6 GW of nuclear generation, including 1,200 MW secured at Comanche Peak alongside DOE-backed nuclear uprates.
- Management locked in 98% of FY2026 generation under forward derivative hedges as of May 1, 2026, insulating baseline forward cash generation while preserving participation in merchant capacity pricing.

Our read: Luminant represents an irreplaceable dispatchable power franchise that is systematically unlocking enterprise infrastructure value from merchant generation assets. As high-density AI data centers demand

round-the-clock baseload capacity, Luminant's integrated nuclear and gas platform will continue to command premium commercial pricing, supporting our Buy rating and $172.84 price target.

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